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Politics - California Legislature approves budget

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SACRAMENTO >> California lawmakers approved a budget on Wednesday that slashes spending and temporarily raises taxes on some businesses to close an estimated $46.8 billion budget deficit.

It's the second year in a row the nation's most populous state has been forced to pare back or delay some of its progressive policies that had been fueled by record-breaking surpluses during the COVID-19 pandemic.

It was just two years ago that Gov. Gavin Newsom and his fellow Democrats in the state Legislature were boasting about surpluses that totaled more than $100 billion, the product of hundreds of billions of dollars of federal COVID-19 aid and a progressive tax code that produced a windfall of revenue from the state's wealthiest residents.

Those revenue spikes did not last as inflation slowed the state's economy, contributing to a rising unemployment rate and a slowdown in the tech industry that has driven much of the state's growth. The Newsom administration then badly miscalculated how much money the state would have last year after a seven-month delay in the tax filing deadline.

Last year's deficit was about $32 billion. This year's deficit swelled to $46.8 billion — with more deficits projected for the future.

California's budget has historically been prone to large swings in revenue, given the state's reliance on its wealthiest taxpayers. But these deficits have come at a bad time for Newsom, who has been building his national profile ahead of a potential run for president one day and has been tapped as one of the top surrogates for President Joe Biden's reelection campaign.

The budget includes an agreement that Newsom and lawmakers will try to change the state constitution in the coming years to allow California to put more money in reserve to prepare for future shortfalls.

"California needs to have fiscal reform to prevent these wild swings in revenue that causes us to make really difficult decisions," Democratic Assemblymember David Alvarez said.

Newsom's plan to balance the budget includes a nearly 10% cut for nearly all state departments, including eliminating thousands of vacant state worker positions.

Many previous promises have been paused or delayed. Two years ago, lawmakers pledged to help pay child care expenses for an additional 200,000 families by 2026. This budget delays that promise to 2028, with the caveat it will only happen if there is money available for it.

A promise to increase the pay for workers who help people with developmental disabilities find jobs has been delayed by six months — which advocates say will cost them roughly $500 million in lost revenue.

And a promise made last year to increase the minimum wage for health care workers this summer has been delayed until January at the latest.

Other major expansions have been protected, including making all low-income adults eligible for government-funded health insurance regardless of their immigration status and making school lunches free for all students.

“In California, you don’t have to be profligate to be progressive,” Newsom said of the budget during his State of the State address on Tuesday. “We understand how to balance budgets while protecting working families, children and the most vulnerable people in this state.”

Republicans said they were left out of budget negotiations. They criticized the tax increase on businesses, which applies to companies with at least $1 million in revenue and will last for three years, bringing in more than $5 billion in extra revenue for the state next year. And they criticized Democrats for some cuts to some social safety net programs.

“We are seeing what I can only characterize as heartless cuts for those that are hurting the most. We can do a whole lot better than this,” Republican Assemblymember Jim Patterson said.

The budget represents an agreement between Newsom and legislative leaders in which both sides had victories and concessions. The Legislature agreed to loan Pacific Gas & Electric $400 million as part of a plan to extend the life of the state’s only remaining nuclear power plant. And Newsom agreed to abandon some of his most controversial cuts to social services programs, including agreeing to pay for people to care for some disabled immigrants who are on Medicaid.

The budget spends $136 billion on public education next year, or about $24,000 per student. Lawmakers agreed to reduce spending on public schools by about $8 billion but pulled an equal amount from reserves to protect schools from those spending cuts. The complex maneuver ensures districts will have more money in future years, rejecting one of Newsom’s earlier proposals.

“Since the beginning of this year we have been committed to a budget that protects classroom funding and invests in our greatest resources, our children,” Democratic Assemblymember Jesse Gabriel said.

Newsom is expected to sign the budget into law in the coming days.

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